

Write your name here

Surname

Other names

**Pearson Edexcel
International GCSE**

Centre Number

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Candidate Number

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Business

Level 1/2

Paper 2: Investigating large businesses

Sample assessment material for first teaching
September 2017

Time: 1 hour 30 minutes

Paper Reference

4BS1/02

You do not need any other materials.

Total Marks

Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and candidate number.
- Answer **all** questions.
- Answer the questions in the spaces provided
– *there may be more space than you need.*

Information

- The total mark for this paper is 80.
- The marks for **each** question are shown in brackets
– *use this as a guide as to how much time to spend on each question.*

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Turn over ►

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FORMULAE FOR INTERNATIONAL GCSE BUSINESS STUDIES

Gross profit margin

Gross profit = revenue – cost of sales

$$\text{Gross profit margin} = \frac{\text{gross profit}}{\text{revenue}} \times 100$$

Operating profit margin

Operating profit = gross profit – other operating expenses

$$\text{Operating profit margin} = \frac{\text{operating profit}}{\text{revenue}} \times 100$$

Markup

$$\text{Markup} = \frac{\text{profit per item}}{\text{cost per item}} \times 100$$

Return on capital employed (ROCE)

$$\text{ROCE} = \frac{\text{operating profit}}{\text{capital employed}} \times 100$$

Current ratio

$$\text{Current ratio} = \frac{\text{current assets}}{\text{current liabilities}}$$

Acid test ratio

$$\text{Acid test ratio} = \frac{\text{current assets} - \text{inventory}}{\text{current liabilities}}$$

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Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1** Apple is a US technology company specialising in branded devices such as iPods, iPads and iPhones. These brands are well known around the world. In 2015, Apple was recognised as the most valuable global brand by Interbrand (a market research group).

In 2016, revenue from Apple products fell for the first time in over ten years. To improve profitability, Apple now intends to focus on its new products, such as the Apple watch. Following the collection of primary market research, Apple have also improved their social media presence and now provide advice and customer support using Twitter.

(Source: adapted from www.mirror.co.uk/tech/apple-launches-twitter-account-deal-7493412 accessed on 12/6/16)

- (a) (i) Which of the following is a reason why a business would advertise its products?

(1)

☐	A To shorten the product life cycle
☐	B To create customer loyalty
☐	C To identify gaps in the market
☐	D To create employment

- (ii) Which of the following describes a person who pays to use another business's products and branding?

(1)

☐	A Franchisor
☐	B Entrepreneur
☐	C Franchisee
☐	D Shareholder

(iii) Which one of the following is an internal source of finance that could be used by a company?

(1)

☐	A Crowdfunding
☐	B Venture capital
☐	C Selling assets
☐	D Personal savings

(iv) Which one of the following is an example of an external economy of scale?

(1)

☐	A Bulk buying of raw materials
☐	B Employing specialist workers
☐	C Purchasing more productive machinery
☐	D Improving infrastructure

The cost of manufacturing an iPod nano 6 is estimated to be US\$45.

(v) If Apple used a mark-up of 200%, identify the selling price of an iPod nano 6.

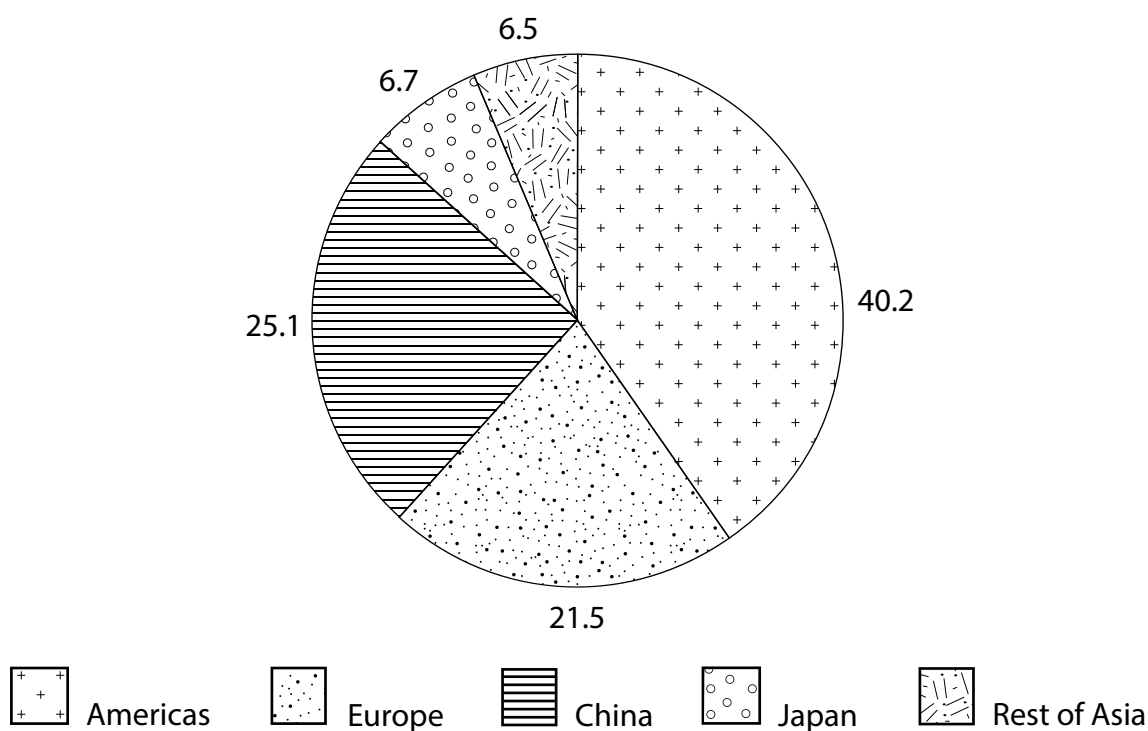
(1)

☐	A US\$90
☐	B US\$135
☐	C US\$170
☐	D US\$245

In 2015, Apple managed to generate global sales of US\$233.71bn with profits of US\$53.4bn.

Figure 1 shows how these global sales are divided up over the different market segments to which it sells.

Apple % sales in each region in 2015



(Source: adapted from www.statista.com/statistics/382288/geographical-region-share-of-revenue-of-apple/ accessed on 12/6/16)

Figure 1

(vi) What was the total value of sales made by Apple in the Rest of Asia in 2015?

(1)

☐	A US\$6.50bn
☐	B US\$6.70bn
☐	C US\$15.19bn
☐	D US\$167.57bn

(b) Define the term '**brand**'.

(1)

(c) Define the term '**market segment**'.

(1)

(d) State **one** possible impact on Apple of falling revenues.

(1)

The selling price of an iPhone 6 is US\$800 and the cost of sales is US\$200.

(e) Calculate the gross profit margin on an iPhone 6. You are advised to show your working.

(2)

(f) Explain **one** benefit to a business of using primary market research.

(3)

(g) Analyse the impact of social media on Apple.

(6)

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(Total for Question 1 = 20 marks)

- 2 Since 2003, Apple has expanded rapidly as demand for its products has increased. It has opened up new customer service centres in different parts of the world. This has made internal communication within Apple more difficult. To meet the needs of customers more effectively, Apple's Chief Executive Officer, Tim Cook, is considering changing the company's organisational structure.

(Sources: adapted from <https://storify.com/gdylan10/why-apple-inc-is-a-centralized-company> and <http://appleinsider.com/articles/14/09/17/tim-cook-explains-consolidation-at-apple-in-new-interview> accessed on 12/6/16)

- (a) State **one** barrier to communication for Apple.

(1)

- (b) State **one** problem of ineffective communication for Apple.

(1)

- (c) Explain **one** benefit to a business of on-the-job training.

(3)

- (d) Explain **one** disadvantage of product orientation for a business.

(3)

(e) Explain **one** benefit of using lean production methods for a business.

(3)

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Apple is considering two options to improve communication within the company.

Option 1: Keep the centralised organisational structure.

Option 2: Move to a flat organisational structure.

(f) Justify which one of these two options Apple should choose.

(9)

(Total for Question 2 = 20 marks)

- 3 An extract from Apple's 2014 statement of financial position is shown in Figure 2 below.

	2014 (in US\$ m)
Current assets	68 531
Non-current assets	163 308
Inventory	2 111
Non-current liabilities	56 844
Current liabilities	63 448

(Source: adapted from <http://investor.apple.com/secfiling.cfm?filingid=1193125-14-383437> accessed on 12/6/16)

Figure 2

- (a) Define the term '**current liabilities**'.

(1)

- (b) Outline **one** reason why Apple makes use of trade payables.

(2)

- (c) Calculate Apple's current ratio for 2014.
You are advised to show your working.

(2)

(d) Analyse the statement of financial position in terms of its usefulness to Apple.

(6)

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In order to fund product development, Apple has two options.

Option 2: Use retained profits.

(e) Justify which **one** of these two options Apple should choose.

(9)

(Total for Question 3 = 20 marks)

- 4 Apple uses foreign companies, such as Foxconn, to manufacture its products. This has led to an improvement in productivity. Foxconn's factories produce 510,000 iPhones per day, using 30,000 workers.

(Source: adapted from <http://fortune.com/2013/11/27/by-the-numbers-how-foxconn-churns-out-apples-iphone-5s/> accessed on 12/6/16)

- (a) Calculate the daily iPhone productivity of a Foxconn employee.
You are advised to show your working.

(2)

Foxconn has decided to increase the use of robotics in their iPhone factories.

- (b) Analyse the possible benefits to Foxconn of increasing their use of robotics.

(6)

The global technology market is highly competitive.

- (c) Evaluate the importance of product quality in allowing Apple to remain competitive. You should use the information provided as well as your own knowledge of business.

(12)

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(Total for Question 4 = 20 marks)

TOTAL FOR PAPER = 80 MARKS